

GCE AS – ECONOMICS

Component 1: Introduction to Economic Principles Practice Paper 2 (Advanced)

Time allowed: 1 hour

ADDITIONAL MATERIALS

A calculator.

INSTRUCTIONS TO CANDIDATES

Use black ink or black ball-point pen. Do not use gel pen or correction fluid.

You may use a pencil for graphs and diagrams only.

Answer **all** questions.

Write your answers in the spaces provided. If you run out of space, use the additional pages at the back of the booklet, taking care to number the question(s) correctly.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets at the end of each question or part-question.

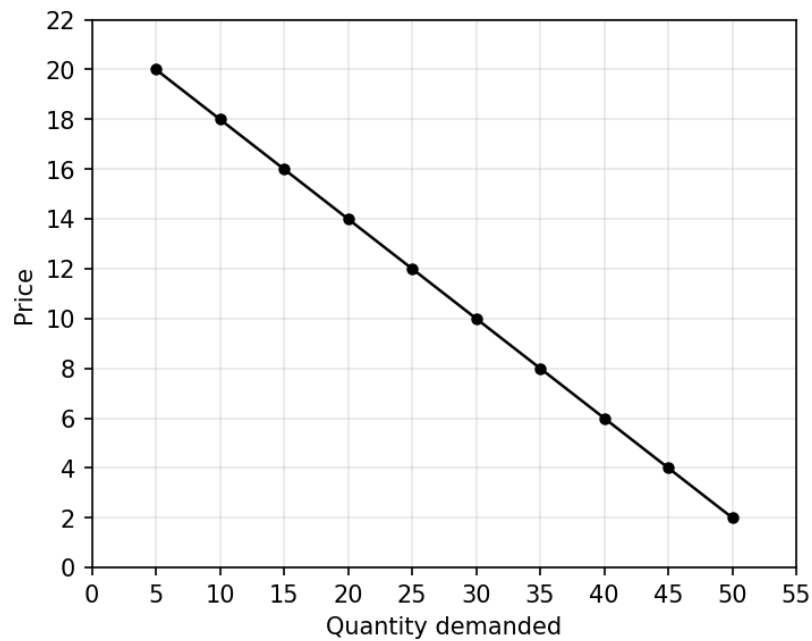
You are reminded of the necessity for good English and orderly presentation in your answers.

For Examiner's use only

Question	Maximum Mark	Mark Awarded
1.	6	
2.	11	
3.	6	
4.	9	
5.	8	
6.	9	
7.	11	
Total	60	

Answer all the questions in the spaces provided.

1. Using calculations from at least two different points along the demand curve in your answer, outline how price elasticity of demand changes along this demand curve and explain the implication for a producer setting price. [6]



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2. In 2022 an online retailer in Japan sold 3 main product categories as shown in **Table 1**.

Table 1:

Product type	% of sales (in 2022)	Estimated income elasticity of demand
Product 1 (premium electronics)	45	+3.2
Product 2 (own-brand groceries)	30	-1.6
Product 3 (everyday clothing)	20	+0.7

(a) Using the data in column 3 of **Table 1**, outline the differences between the three product categories using income elasticity of demand. **[5]**

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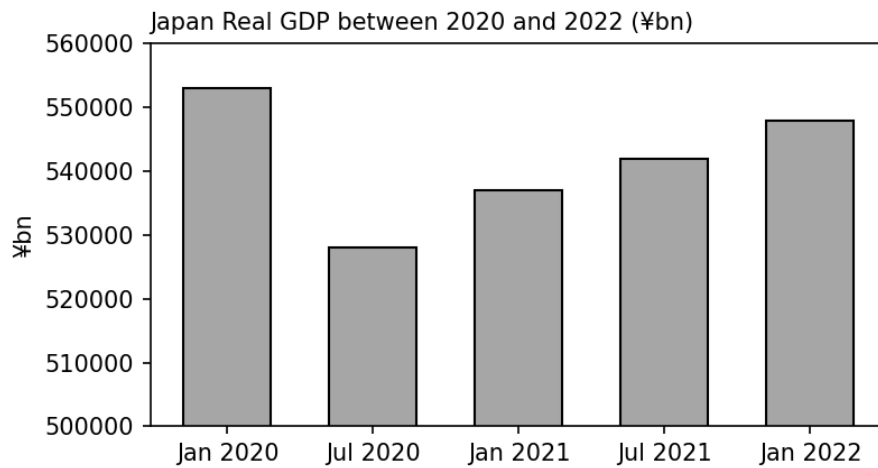
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Figure 1: Japanese Real GDP between 2020 and 2022 (¥bn)



(b) Using **Table 1** and **Figure 1**, consider whether the change in Japanese Real GDP between 2020 and 2022 will be harmful for the total revenue of the online retailer. Your answer should consider the impact across all three categories. **[6]**

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3. In 2022 the Swiss National Bank (SNB) abandoned its policy of maintaining a minimum exchange rate of 1.20 Swiss Francs (CHF) per Euro. Following the announcement, the Swiss Franc appreciated sharply against the Euro by approximately 30% within one trading day.

Figure 2: Switzerland and Eurozone trade flows (2022)

Swiss exports to Eurozone	Swiss imports from Eurozone
CHF 165 bn	CHF 142 bn

(a) Using a demand and supply diagram, outline how the Swiss National Bank had previously been able to manage the Swiss Franc **below** its free-market exchange rate. [3]

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(b) Using **Figure 2**, explain why Swiss exporters would argue that abandoning the minimum exchange rate has caused a significant deterioration in their international competitiveness. **[3]**

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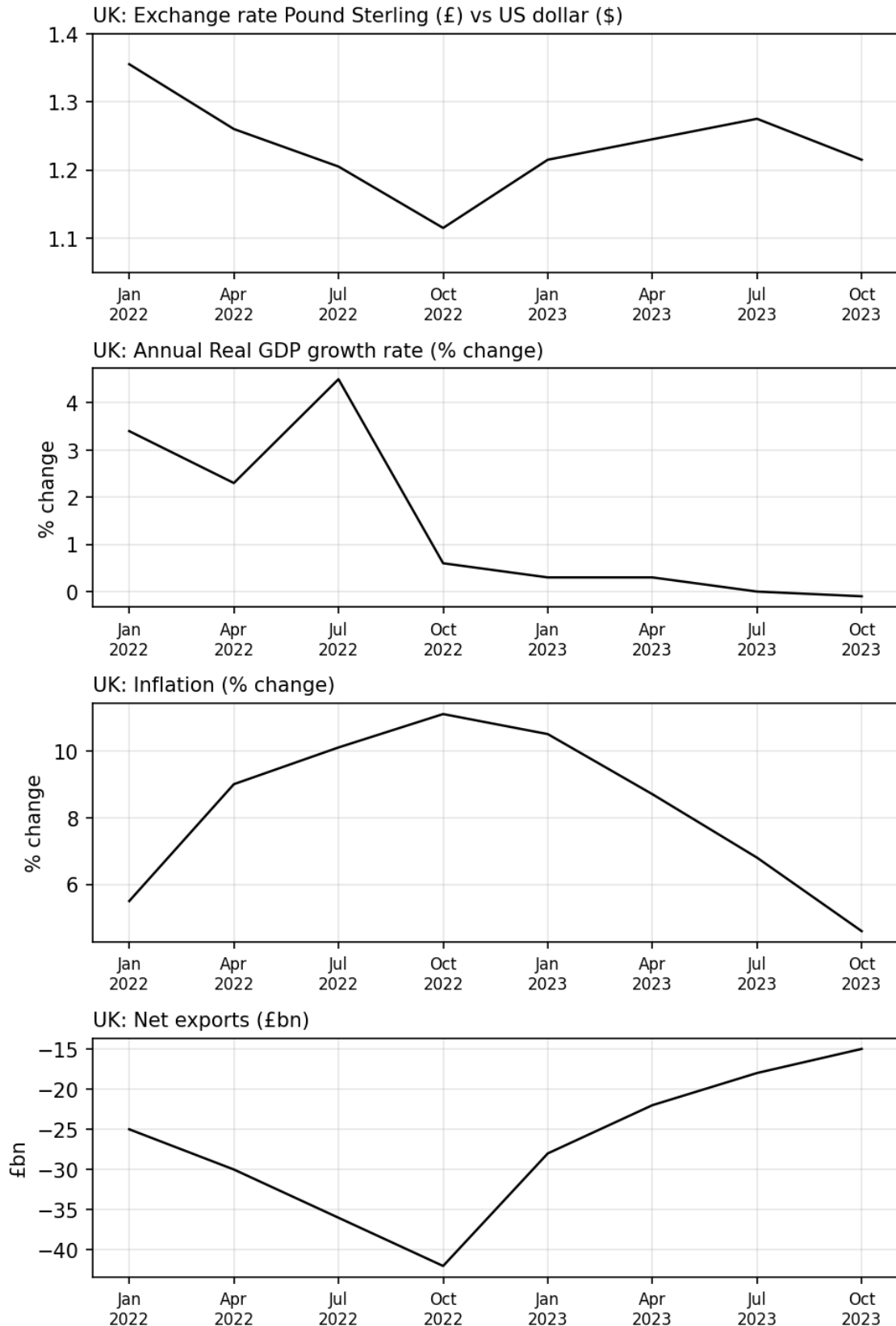
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4.



Using the data and economic analysis, discuss the strength of the relationship between the UK's exchange rate and its economic growth, inflation and net exports between January 2022 and October 2023. [9]

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[illegible]

5. The Earth's atmosphere is shared by every country and individual. Greenhouse-gas emissions from one country affect climate outcomes everywhere. International agreements such as the Paris Agreement (2015) attempt to coordinate national emissions targets, but enforcement relies on each signatory country implementing its own legislation.

Several major emitting countries have, at various times, withdrawn from or weakened their commitments to international climate agreements. Critics argue that without enforceable global property rights over the atmosphere, market failure is inevitable.

To what extent will the absence of enforceable private property rights over the global atmosphere lead to market failure? [8]

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6. In 2024 the UK government announced a wide-ranging package of measures to reduce alcohol consumption, classified as a demerit good. The proposed measures include:

- An increase in the Minimum Unit Price (MUP) for alcohol from 50p to 65p per unit.
- A new excise duty linked to the alcoholic strength of the drink.
- A ban on alcohol advertising on social media platforms aimed at users under 25.
- Mandatory pictorial health warnings on all alcoholic drink packaging from 2026.
- Greater funding for NHS-run alcohol dependency programmes.

The hospitality industry and drinks manufacturers have warned that the package will lead to higher prices for consumers, higher unemployment in pubs and bars and a slower rate of economic growth, particularly in rural areas dependent on the licensed trade.

Evaluate whether the proposed package is likely to lead to higher prices, higher unemployment and a lower rate of economic growth. **[9]**

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[illegible]

7. In a domestic women's basketball competition consisting of teams with 12 players, the average wage per player has increased from £180 per week in 1995 to £2 400 per week in 2023.

Recently the league regulator introduced a total wage cap (a maximum total wage cost for labour). The total wage cap was set at £900 000 for each team per year.

Some teams, in particular those competing in European competitions, commented that the total wage cap was "too low" and would force them to release their international players.

(a) Using calculations in your answer, explain why the total wage cap in 2023 might have been said to be "too low". **[4]**

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In a top-tier European men's football competition, pre-1995 transfer fees and wages were tightly restricted by the Bosman ruling era's predecessor rules (effectively a maximum price of labour through restrictive contracts). The table below shows real wage changes from 1995:

	Elite player real wage per player per week
In 1995 before the Bosman ruling (effective max wage)	£3 200
In 2010 average wage	£36 500
In 2023 average wage	£128 000

Recently the competition has signed broadcasting deals worth over £10bn per cycle, generating significantly more revenue for the teams. The elasticity of supply of labour for elite footballers is said to be highly inelastic.

(b) Using a diagram in your answer, discuss whether the removal of the maximum price of labour was the main cause of the wage growth of elite footballers since 1995. **[7]**

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Additional page, if required.

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